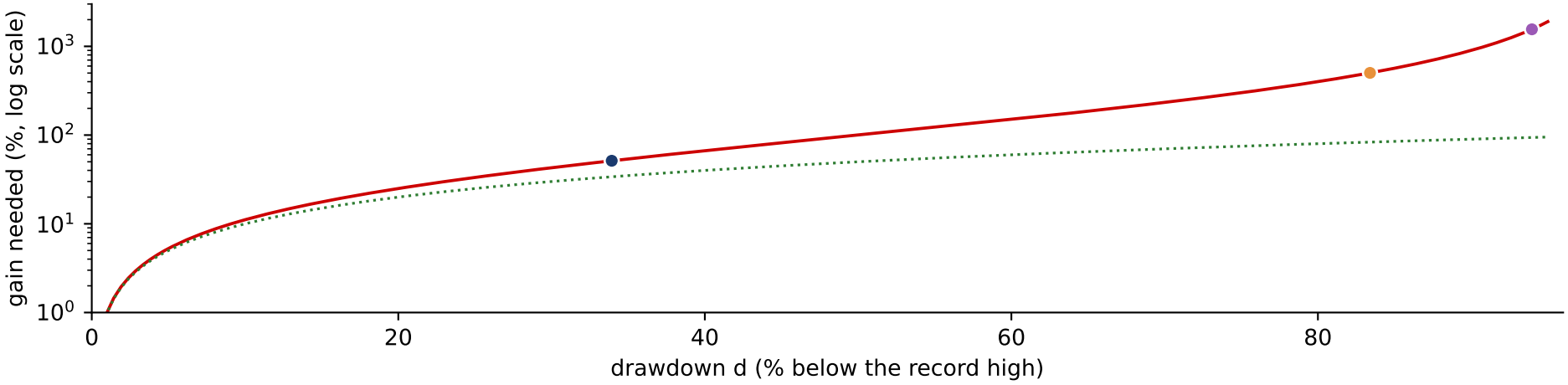
gain needed (%, log scale)
10^3
10^2
10^1
10^0
0
20
40
60
80
drawdown d (% below the record high)
gain needed to recover: d / (1 - d)
gain = loss (what intuition suggests)
S&P 500: maximum drawdown 33.9% (Mar 2020), gain needed 51%
Bitcoin: maximum drawdown 83.4% (Dec 2018), gain needed 502%
Ethereum: maximum drawdown 94.0% (Dec 2018), gain needed 1,556%